

return goals tend to be more aware of potential downside scenarios as they are unlikely to view losing money over the long term as a good outcome, regardless of how the market performs.

You may wonder how venture capital fits into this manager selection risk rubric. Aren't venture capitalists supposed to swing for the fences? Yes, they are—but while prudent venture capitalists may take bets on inexperienced entrepreneurs and unproven business models, they are also aggressive about mitigating every other risk they can. They set aside cash reserves to support companies through inevitable tough times, they help recruit proven operating executives to provide grounding to visionary founders, they advocate for sustainable long-term business practices, and they push companies to raise excess capital in good times. By preparing for downside scenarios, venture capitalists give start-up companies the best shot at surviving difficult times long enough to see if their disruptive idea works, preserving the upside potential for which venture capital is famous.

Portfolio-level risk controls represent an endowment's second line of defense after manager selection. Investment managers may make individually sensible decisions that create unhealthy portfolio-level exposures when aggregated across multiple managers, and an endowment must act to limit these exposures. Thoughtful top-down limits impose diversification on a portfolio, ensuring that negative events, political changes, or macroeconomic headwinds will not similarly impair all parts of the portfolio simultaneously. For example, in 2013, we established a top-down limit on our China exposure. Our investment committee correctly identified potential future downside scenarios that could impair value for a U.S. investor, no matter how well we diversified our exposure within China. A U.S.-based endowment that looked only at bottom-up investment opportunities could easily become overexposed to China before changing geopolitics made such investments less attractive.